ORCATRADING · THE OTOS TRADING METHOD

The OTOS Method

A complete, systematic way to read markets and decide before you risk money

Complete Guide · Student Edition · Written for all levels, so a beginner can follow it and an experienced trader still gets the full framework · Made to be read, studied, and used

This is the complete guide to the Orca Trading Operating System, which we call OTOS. It is one document, meant to be read from start to finish, then kept close and returned to often. By the end you will understand the whole method: how to think, how to move through a trading decision one step at a time, and how to use the checklist on your very next chart. Nothing in here is a magic strategy. It is something far more durable and far more valuable over a career: a reliable way of deciding.

How to use this guide

Read Part One first, because it is the mindset that everything else stands on. If you skip it, the later stages will look like a checklist to memorise rather than a way of thinking, and the method loses most of its power. Part Two is the method itself, taught one stage at a time. The best way to learn it is slowly: study a single stage, then practise only that stage on live charts for a few days before moving to the next. Part Three shows the whole method working on real trades, gives you the full checklist to keep beside you, and explains exactly how to turn all of this into a habit that runs automatically under pressure.

Do not rush. The goal is not to finish the guide. The goal is to change how you decide, and that only happens with repetition. A trader who truly absorbs Part One and Stage One is already ahead of most people who have read ten strategy books, because they have stopped asking the wrong question first.

PART ONE

The Foundations

What OTOS is, why it exists, the rules it never breaks, and the single shift in thinking that changes everything.

What OTOS actually is

OTOS stands for the **Orca Trading Operating System**. It is the way of thinking that sits underneath every trade you take, before any chart pattern, any strategy, or any entry. It is not a strategy, a signal service, or a set of secret rules. It is a **decision process**: a repeatable, ordered way to answer one single question, which is whether you should risk money right now, and if so, how much and on what.

Think about why we call it an operating system. On a computer, the operating system does not do your work for you. It does not write your emails or edit your photos. What it does is govern everything: it decides what programs are allowed to run, how they share resources, and what happens when something goes wrong. Every application you use runs on top of it and obeys its rules. OTOS plays exactly that role for your trading. Your strategies, your risk rules, your journaling, and one day your automation all run on top of it, and all of them obey the same underlying logic. Get the operating system right and everything built on top becomes cleaner, safer, and more consistent.

> **IN PLAIN ENGLISH**
>
> A strategy tells you *where* to buy or sell. OTOS tells you *whether you should be looking to trade at all*, and it decides that first. The strategy comes later, and only if the market has earned it. Most traders have plenty of strategies and no operating system, which is exactly why they struggle.

The problem it solves

Here is a truth that takes most traders years and a lot of money to accept. People rarely lose because their strategy is bad. They lose because they take a perfectly decent strategy and apply it badly. There are four classic ways this happens, and OTOS is built to stop each one.

Wrong time. A good setup in the wrong conditions is not a good setup. A breakout method used in a dead, quiet market will bleed you slowly. The strategy was fine, the timing was wrong. **Wrong size.** Even a winning approach will ruin you if a single loss is large enough to cripple the account, because losing streaks are guaranteed and only a matter of when. **No plan for being wrong.** Traders enter with a clear idea of the reward and no clear idea of what would prove them wrong, so they freeze, hope, and let a small loss become a large one. **Judging by results.** When a reckless trade wins, they feel brilliant and do it again. When a disciplined trade loses, they abandon the discipline. They are learning from luck instead of from process.

OTOS attacks all four directly. It takes the tense, emotional moment right before a trade and slows it down into a series of clear, ordered checks. Because the checks are the same every time, your good decisions become repeatable, and your bad ones get caught and stopped before they ever reach your account. That is the entire promise of the method.

Three rules that never break

Everything in OTOS rests on three rules. They are not suggestions and they are never bent for a setup that looks too good to miss. If you remember nothing else from this guide, remember these, because they are the difference between a career and a story about the time you blew up an account.

1. **Survive first.** No single trade, and no run of trades, may ever threaten your ability to keep trading. Protecting your capital always beats chasing a return. The reason is simple and mathematical: you cannot recover from zero. A trader who is still in the game next year, compounding steadily, beats one who doubled the account in a month and then gave it all back and more. Survival is not the boring part of trading. Survival is the whole game.

2. **No trade is always allowed, and usually right.** Doing nothing is a real, complete, professional decision, and most of the time it is the correct one. You are never forced to trade. The market will still be there tomorrow. Amateurs feel they must be in a position to be doing their job. Professionals understand that patiently waiting for the rare, high quality moment is the job. If you only remember one habit, make it the habit of comfortably saying no.

3. **Judge the decision, not the outcome.** A winning trade you took by breaking your process is a bad decision that happened to get lucky, and it is dangerous because it rewards the wrong behaviour. A losing trade you took correctly, sized well, with a clear plan, is a good decision even though it lost. Markets are noisy, and over any short stretch luck drowns out skill. If you grade yourself on outcomes, you train yourself on randomness. Grade yourself on whether you followed the process, and skill compounds.

The big shift: strategy is the last step, not the first

This is the most important idea in the entire method, and it is where OTOS differs from how almost everyone trades. It is worth reading twice.

Most people trade in what we will call the **amateur order**. They fall in love with a strategy, then go hunting across charts looking for it, and when they find something that looks close enough they force the trade. The problem is obvious once you see it: they have decided what to do before looking at the market, so they bend the market to fit their tool. It is the old saying about a person with a hammer who sees every problem as a nail.

OTOS runs in the opposite direction, in what we will call the **professional order**. You read the market as it actually is, with no position in mind. Then you let the conditions in front of you tell you which play, if any, is even allowed. Only then do you trade. Your tool now fits the market, instead of the market being forced to fit your tool. This one reversal removes a huge share of losing trades before they are ever taken, because most of the time the honest answer to what does this market allow is nothing.

The amateur order (avoid this)	The professional order (OTOS)
Start with a favourite strategy in mind.	Start with no position and an open mind.
Scan charts hunting for that setup.	Read what the market is actually doing.
Force a trade when something looks close.	Let the conditions reveal which play fits, if any.
Feel that not trading is a wasted day.	Treat a clean no trade as a winning day.
The market is bent to fit the tool.	The tool is chosen to fit the market.

KEY IDEA

You do not bring a strategy to the market. You read the market, and the market hands you the strategy. If no play fits the conditions in front of you, you do not trade, and that is a win, not a missed opportunity.

The funnel: how a decision flows

Every possible trade travels down through a funnel of checks. At each level it can only do one of two things: pass, or stop. Nothing is ever forced through. Only a trade that passes every single level reaches your account, and the funnel narrows on purpose, because most looks should end in a stop. If you find that almost everything you look at becomes a trade, your funnel is broken and too much is getting through.

1 Read the world
What is the market actually doing right now?

2 Check yourself
How much can I risk, and am I fit to trade today?

3 The green light gates
Can I trade at all? Is this worth engaging? Is there real opportunity?

4 Choose the play
Which strategy do these exact conditions allow?

5 How sure, how much
How strong is this setup, and what size keeps me safe?

6 Commit and set your line
Place it, and define in advance what proves me wrong.

7 Review and improve
Write it down. Learn. Repeat.

The order is deliberate. The cheapest and most disqualifying checks come first, so you never waste effort analysing a beautiful chart on a day you were never allowed to trade. The expensive, detailed work of choosing a play and sizing it comes last, only after the market has already proven it is worth that effort. Reading the funnel correctly means understanding that a stop at any level ends the process with a clear conscience. Stopping early is the system working, not failing.

The two words that run everything: describe, then decide

Underneath the whole method is a strict separation between two activities that traders constantly and dangerously mix. The first is to **describe**, which means to observe and state what is true about the market and about yourself, with no opinion attached. The second is to **decide**, which means to choose an action based on those descriptions. The first three ideas of the funnel are mostly describing. The later stages are deciding. When you let a description quietly become a decision, for example when noticing a nice looking candle instantly becomes buying, you have skipped the entire process. Keep the two apart. See clearly first, choose deliberately second.

PART TWO

The Method, Stage by Stage

Each stage answers exactly one question. Work through them in order. At any stage, an honest stop is a successful outcome.

STAGE 1 Read the World

What is the market actually doing right now?

Why it matters. Every later step is built on this reading, so if you misread the market, everything downstream stands on sand. This stage only describes. It never decides, and it is not prediction. You are writing down what is genuinely in front of you, not what you hope will happen next, and not what would be convenient for a trade you already want to take.

How to do it. Describe three things, every time, in the same plain language. First, the market's *character*: is it trending in one direction, drifting sideways in a range, expanding with energy, or quiet and asleep? Second, how it is *moving*: is momentum building or fading, is it fast or slow, orderly or choppy? Third, *where price sits* relative to the levels that matter, such as the edges of a range, a recent high or low, or an obvious area other traders are watching. Using the same words each time is not a small detail. It is what lets you compare today honestly against last week, and it is what lets two traders look at one chart and agree on what they see.

What good looks like

A good reading is short, specific, and free of opinion. It sounds like a weather report, not a prediction or a wish. If your description already contains the words buy or sell, you have skipped ahead and started deciding before you finished seeing.

COMMON MISTAKE

Seeing what you want to see. The moment you have decided you would like to buy, your mind quietly filters for bullish evidence and hides the rest. This is called confirmation, and it is the single most expensive habit in trading. The cure is to read first and want nothing while you read.

EXAMPLE

A clean reading sounds like this: EURUSD on the hourly chart is quiet, has been stuck in a tight range for several hours, price is sitting in the middle of that range, and there is no momentum in either direction. Notice that a good reading often whispers the answer on its own. A quiet, mid range, motionless market is usually telling you there is simply nothing to do here.

IN PRACTICE

- Write your description before you form any opinion about direction.
- Use the same words every session, so your notes stay comparable over time.
- If the words buy or sell appear in your reading, stop and re-read what is actually there.

You are done with Stage 1 when you can describe the market in two or three plain sentences that another trader would agree with, without any hint of an opinion about what to do.

STAGE 2

Check Yourself

How much can I risk, and am I fit to trade?

Why it matters. The market does not know or care about your account balance or your emotional state, but both of those facts decide whether you should act. Your resources and your condition are things to read honestly, exactly like the chart. This stage exists so that you discover your limits before the market tempts you, not after you have already broken them and are trying to justify it.

How to do it. Before you look at a single setup, know four things. Know your risk budget for today and for the week, decided in advance while you were calm. Know whether you have already hit a loss limit, because if you have, you are finished for the session no matter what appears on the screen. Know your current open risk and exposure, so you are not quietly stacking correlated bets that all lose together. And know, honestly, your own state: are you tired, rushed, angry, distracted, or trying to win back a loss? Deciding your daily limits ahead of time, in a calm moment, is what protects you in the heated moment when your judgement is at its worst.

What good looks like

You can state your remaining risk for the day as a number before you look for trades, and you can name your current state in one honest word. If that word is tilted, tired, or revenge, the professional move is to reduce size sharply or stop entirely.

COMMON MISTAKE

Trading to make back a loss. This is the exact moment your judgement is worst, your discipline is weakest, and your size creeps up. Revenge trading has ended more accounts than any bad strategy ever has. The check exists precisely to end your day cleanly before that spiral can start.

EXAMPLE

You have taken two losing trades today and reached your planned daily stop. The correct action is simple and non negotiable: no further trades, regardless of how good the next setup looks. The check has just protected you from the most dangerous trade of the day, which is the one you take while frustrated.

IN PRACTICE

- Set your daily and weekly loss limits in advance, in a calm moment, not mid session.
- Name your current state in one honest word before you look for a single setup.
- If you have hit your limit, close the platform. The day is genuinely finished.

You are done with Stage 2 when you know your remaining risk as a number and you have honestly named your state, and neither one forbids trading.

STAGE 3 The Green Light Gates

Can I trade at all? Is this worth engaging? Is there real opportunity?

Why it matters. These are three fast, decisive filters, run in a fixed order, cheapest and most disqualifying first, so you spend your attention only where a trade could genuinely exist. Each gate is a veto. You do not average them or trade off one against another. Any single stop ends the process immediately.

The three gates, in order.

1. **Account permission, the circuit breaker.** Are you inside your limits, and clear of any window you have chosen to avoid, such as a major scheduled news release? This runs first because it is the cheapest possible stop. If you have hit your daily limit, there is no reason to analyse the chart at all, so you check it before spending any effort.
2. **Tradability.** Is this the kind of environment you actually trade well? Every trader has conditions that suit them and conditions that quietly drain them. A dead, choppy market is untradeable for a trend method no matter how patient you are. If this is not your kind of market, you stop, and you feel no regret about it.
3. **Opportunity.** Is there real room for reward, a genuine imbalance between what you could gain and what you must risk, rather than merely a signal? A pattern that just appeared is not an opportunity if the sensible target is a few steps away while your stop must sit far below. Reward has to justify risk before anything else is worth considering.

COMMON MISTAKE

Confusing a signal with an opportunity. A setup can trigger and still offer nothing, if the realistic reward is small and the required risk is large. A signal tells you something happened. An opportunity tells you the payoff is worth the danger. Only the second one earns your capital.

EXAMPLE

Your indicators flash a long signal, but price is already jammed right underneath a strong ceiling with almost no room to run, while a sensible stop sits far below. The signal is real, the opportunity is not, and the opportunity gate stops the trade. This is the system doing its most valuable work.

IN PRACTICE

- Run the three gates strictly in order, and stop at the first one that says no.
- Never trade a strong signal off against a poor environment. Each gate is a veto.
- Ask of every setup: is the reward truly worth the risk, or is this just a trigger?

You are done with Stage 3 when all three gates have said pass. If any one said stop, you are finished, and you move on with a clear conscience.

STAGE 4 Let the Market Pick the Play

Which strategy do these exact conditions allow?

Why it matters. This is the great mindset shift made practical. You have read the market and passed the gates, so now you discover which of your plays actually fits. You do not reach for a favourite and you do not decide in advance what you were hoping to do. You let the conditions choose.

How to do it. Every strategy in your playbook should have written conditions it needs in order to be valid: the market character it requires, the location it works from, the context that makes it reliable. You take your current reading from Stage 1 and match it against those written conditions. If exactly one play fits cleanly, it becomes your candidate. If several fit, you will learn over time how to rank them and pick the best. If none fit, there is no trade, even now, even this late in the process, and that is a completely acceptable and common ending. Building this library of plays with their conditions is core work. It is the document you will refine for years, and it is where a personal edge quietly lives.

What good looks like

You can point to the specific play and name the conditions it requires, and show that today's market meets them without you having to squint or make excuses. The match is obvious, not argued into existence.

COMMON MISTAKE

Bending a play's conditions so that it appears to fit, because you have already decided you want to trade. If you find yourself explaining away the parts that do not match, the setup is not there. Squinting is not analysis, it is wishful thinking wearing a disguise.

EXAMPLE

Your breakout play needs an expanding, trending market pushing against the edge of its range. Today the market is quiet and stuck in the middle of a range. The play does not fit, so there is no trade, cleanly and without frustration, no matter how much you would like to be involved.

IN PRACTICE

- Keep a written list of each play and the exact conditions it needs to be valid.
- Match the market to a play. Never argue a play onto a market that does not fit.
- If nothing fits cleanly, the honest and correct answer is simply no trade.

You are done with Stage 4 when either one play clearly fits the conditions, or none do and you have accepted the no trade.

STAGE 5

How Sure, How Much

How strong is this setup, and what size keeps me safe?

Why it matters. Two different questions live inside this stage, and mixing them causes real damage. One is how good the setup is. The other is how much money should ride on it. They are related, but they are not the same, and each deserves its own honest answer.

Conviction, how sure. Grade the strength of the setup on a simple, consistent scale, for example low, medium, or high. The power is entirely in the consistency. You define what each level actually means, in terms of how cleanly the conditions line up, and then you apply that definition the same way every single time. Conviction must reflect the quality of the evidence, not how excited or bored you happen to feel in the moment. Excitement is not information.

Sizing, how much. Turn three things into a position size: your conviction, your remaining risk budget from Stage 2, and the distance to your line that proves you wrong from Stage 6. Always express size as how much you lose if you are stopped, never as a raw number of lots or contracts, because the loss is the thing that matters. Stronger conviction may earn modestly more size, and weaker conviction earns less or nothing at all. Above everything sits the unbreakable rule: size so that being wrong barely dents you. You never, ever increase size simply to make a trade feel worth taking.

COMMON MISTAKE

Sizing by feeling, or increasing size to chase a bigger win after a boring stretch. The worst version of this error is deciding the size first and then hunting for a stop placement that justifies it. That is completely backwards. The line that proves you wrong sets the size. The size never sets the line.

EXAMPLE

Your baseline risk is one percent of the account per trade. A clean, high conviction setup where everything lines up might take the full one percent. A marginal setup that barely qualified takes half a percent, or you skip it and keep your capital for a better moment.

IN PRACTICE

- Define what low, medium, and high conviction each mean, and apply them the same way.
- Always size from what you lose at the stop, never from a number of lots or contracts.
- Whenever you are unsure about size, choose the smaller one.

You are done with Stage 5 when you have a conviction level and a position size, and that size would leave you barely scratched if the trade fails.

STAGE 6 Commit and Set Your Line

What proves me wrong, and where is that line, before I enter?

Why it matters. A trade with no clear point that proves it wrong cannot be managed, cannot be learned from, and tends to drift toward an unlimited loss because there is never an honest moment to admit the idea failed. Defining that point in advance, while you are calm and before you have any money at risk, is what stops you moving the goalposts later when the trade turns against you and your emotions take over.

How to do it. Before you enter, write two short things. Write the thesis, the reason you are taking the trade, in one plain sentence, for example that you are long because price is breaking out of a range in a trending market. Then write the line that proves you wrong, also called the invalidation, in equally plain terms, for example that you are wrong if price closes back inside the range, or reaches a certain level, or fails to move by a certain time. That line sets your stop, and the distance to it sets your risk per unit, which is what fed the sizing back in Stage 5. Once both are written, you commit: you place the order exactly as planned, at the size you calculated, with the stop where your line sits. After you are in, you follow the plan you already made. You do not invent fresh reasons to stay in a losing trade, because those reasons are almost always fear talking.

COMMON MISTAKE

Entering first and deciding the stop later, or worse, moving the stop further away when the trade threatens it. The line that proves you wrong must exist before the entry, and it must be honoured once you are in. A stop you move under pressure is not a stop, it is a wish.

EXAMPLE

You write it out fully before entering: I am long on a break above the range high. I am wrong if price closes back inside the range. My stop sits just below the range low, which is fifteen points of risk, so I size the position off those fifteen points and nothing else. Now the trade manages itself, because the decisions were all made in advance.

IN PRACTICE

- Write your thesis and your line in one plain sentence each, before you enter.
- Let the distance to your line set the size, never the other way around.
- Once you are in, follow the plan. Do not invent new reasons to hold a losing trade.

You are done with Stage 6 when your thesis and your line are written before the entry, your size matches the distance to that line, and the order is placed exactly as planned.

STAGE 7

Review and Improve

Did I follow the process, and what can I learn?

Why it matters. Improvement is impossible without an honest record, and it is impossible if you confuse two very different questions. Getting better is not about trading more or reading more strategy content. It is about a disciplined loop of recording, reviewing, and adjusting the right thing for the right reason.

How to do it. Record every decision, and this includes every no trade, together with its reasons. That record is your journal, and your no trades often teach you more than your trades, because they reveal your discipline. Then review two separate loops, and never let them blur together. The first loop asks whether the rules are good: across many trades, are your play conditions, your gates, and your sizing rules actually working? You only change a rule on evidence gathered across a sample of trades, never after a single loss. The second loop asks whether you followed the rules well: where did you deviate, override a gate, fudge a reading, or move a stop? That is fixed by discipline and practice, not by rewriting the rules. The two problems have opposite cures, and applying the wrong cure makes things worse.

KEY IDEA

Never confuse a good decision that happened to lose, which is simply variance, with a bad rule. One losing trade is not evidence of anything at all. Entire sound systems get thrown away by traders who overreact to a single outcome, which is the same mistake as judging by results, just applied to your whole method instead of one trade.

COMMON MISTAKE

Rewriting your whole approach after one bad day, which is fitting your method to noise, or blaming the rules for what was actually a lapse in your own execution. Both errors come from failing to separate the two loops.

IN PRACTICE

- Log every decision, including the no trades, together with its reasons, the same day.
- Sort each lesson into either rules or execution before you change anything.
- Change a rule only on a sample of trades, never in reaction to a single result.

You are done with Stage 7 when every decision is logged with its reasons, and any change you make is correctly aimed at either the rules or your own execution, based on a real sample rather than one result.

PART THREE

Putting It Together

The whole method working on real trades, the full checklist to keep beside you, and how to turn all of this into an automatic habit.

Three trades through the funnel

Here is the method in motion. Notice that two of these three end without a trade, and that this is completely normal and correct. If your own results looked like this, you would be doing it right.

Path A: the no trade, the common and correct outcome

Read the world. The market is quiet, stuck in a tight range, price sitting in the middle, no momentum.

Check yourself. You are inside your limits and clear headed, so you continue.

Green light gates. Account permission passes. Tradability fails, because this dead, choppy chop is not a market you trade well. You stop here.

Result. No trade. You never even reached the stage of choosing a play. You protected both your capital and your focus, and you kept your powder dry for a real opportunity. This is a win.

Path B: a trade that earns its place

Read the world. The market is trending and expanding with energy, and price has pushed up to the top of its range.

Check yourself. Inside your limits, focused, full risk budget available. Continue.

Green light gates. Account permission passes. Tradability passes, because a trending market suits you. Opportunity passes, because there is clear room to run above if price breaks out. All three green.

Choose the play. Your breakout play needs exactly this, an expanding trend pressing against the range edge. It fits cleanly, with no squinting.

How sure, how much. The conditions line up well, so conviction is high, and you allocate your full one percent of risk.

Commit and set your line. You write it: long on a break of the range high, wrong if price closes back inside, stop below the range low, size taken from that distance. The order goes in exactly as planned.

Review. Win or lose, the trade is logged with its reasons. The decision was sound because it followed every step of the process.

Path C: a good setup that still gets stopped, this time by size

Read the world. A clean trend, price at a sensible location, a real setup forming.

Check yourself and gates. All pass, and a play fits.

How sure, how much. The line that proves you wrong sits far away, so the stop distance is large. To keep the loss within your one percent limit, the position would have to be so small it is not worth the effort, or keeping a normal position would breach your risk rule. Rule 1 wins. You stop.

Result. No trade, not because the idea was bad, but because it could not be sized safely. Survival came first, exactly as it should. A good idea you cannot size safely is not a good trade.

The complete decision checklist

Run this before every trade. Go top to bottom. The moment you reach a no, or an honest not sure, you stop, and that is a no trade. Every box must be a confident yes to continue.

- [ ] **Can I trade at all?** I am inside my risk limits for today, clear of any window I avoid, and genuinely clear headed.
- [ ] **Can I describe this market plainly?** I can state its character, its movement, and where price sits, without any opinion mixed in.
- [ ] **Is this environment worth engaging?** This is a market I trade well, not one I am forcing myself into out of boredom.
- [ ] **Is there real opportunity?** There is genuine room for reward against the risk, not merely a signal that fired.
- [ ] **Does a play I trust actually fit?** Today's conditions match one of my written plays without me bending or excusing anything.
- [ ] **Do I know my line?** Before entering, I can state exactly what would prove me wrong, and precisely where that line sits.
- [ ] **Is my size survivable?** If I am wrong and get stopped, the loss barely scratches my account.
- [ ] **Will I log it either way?** I am ready to record this decision and its reasons, whether it wins or loses.

The default is no trade. If you cannot honestly tick every box, the professional move is to wait. Waiting is not missing out. Waiting is the job.

How to study this and build the habit

Reading this guide once will not change how you trade. Only repetition will, because under real pressure you do not rise to your knowledge, you fall to your habits. Here is a simple, proven way to turn the method into instinct.

1. **Run the checklist without trading.** For a full week, apply the complete checklist to live charts but place no trades at all. The single goal is to become completely comfortable reaching a no and feeling fine about it. This one exercise breaks the compulsion to always be in a position, which is the root of most bad trading.
2. **Journal your no trades.** Write down the setups you passed on and the exact reason you passed. Over a few weeks your no trade log becomes a mirror, showing you your own discipline and the situations that tempt you most.
3. **Build your play library.** For every strategy you use, write down the precise conditions it needs to be valid, as described in Stage 4. Start with just one play defined clearly rather than five defined vaguely. This is the personal document you will refine for years, and it is where your edge lives.
4. **Review weekly in two separate loops.** Once a week, sit down and separate the two questions cleanly: were my rules good, and did I follow them? Fix each with the right tool. Gather evidence before changing a rule, and practise discipline to fix execution. Never mix the two.
5. **Protect Rule 1 above everything.** Whenever you are unsure about size, go smaller. Whenever you are unsure whether to trade at all, do not. Surviving to trade another day is the entire game, and every other rule serves it.

The principles underneath the method

If you ever forget why a stage exists, trace it back to one of these four goals, because every part of OTOS serves at least one of them. The method exists to **reduce randomness**, by filtering out the low quality, coin flip trades that make up most of what tempts you. It exists to **protect survival**, by making sure no single decision can take you out of the game. It exists to create **consistency**, so the same conditions produce the same decision every time, which is the only foundation on which you can ever improve. And it exists to make everything **reviewable**, because a decision you recorded with its reasons is a decision you can learn from, while a decision made on a feeling and forgotten teaches you nothing. Reduce randomness, protect survival, stay consistent, stay reviewable. Everything else is detail.

Glossary of key terms

OTOS. The Orca Trading Operating System, the decision process you run before risking money.

Decision process. A repeatable set of ordered checks that turns a chart and an urge into a sound, defensible decision, including the decision to do nothing.

The funnel. The ordered stages that every possible trade must pass through, where each stage can only pass or stop.

Gate. A pass or stop check that can end the process. Each gate is a veto, so any stop ends the trade.

No trade default. The idea that doing nothing is the starting answer, and you only trade when every check clearly says yes.

Describe versus decide. Observing what is true, kept strictly separate from choosing an action based on it.

Tradability. Whether the current market is the kind of environment you personally trade well.

Opportunity. Genuine room for reward relative to the risk. Not the same thing as a signal.

Signal. An event that says something happened. It becomes worth trading only if it also carries real opportunity.

Play, or strategy. A specific way of trading, with written conditions that must be present for it to be valid.

Conviction. How strong a setup is, graded on a simple, consistent scale that you define and apply the same way each time.

Your line, or invalidation. The point, decided before you enter, that proves your trade idea wrong.

Survivable size. A position small enough that being wrong and getting stopped barely affects your ability to keep trading.

Risk budget. The amount you allow yourself to risk in a day or a week, decided in advance while calm.

Process versus outcome. Judging a trade by whether you followed a sound process, not by whether it happened to win.

The two review loops. Checking separately whether your rules are good, and whether you followed them well.

The seven stages at a glance

1. **Read the world.** Describe what the market is doing, plainly and with no opinion attached.
2. **Check yourself.** Know your remaining risk and your honest state before you look for setups.
3. **The green light gates.** Pass all three, permission then tradability then opportunity, or stop.
4. **Choose the play.** Match today's conditions to a written play, or accept the no trade.
5. **How sure, how much.** Grade conviction, then size so that being wrong barely hurts you.
6. **Commit and set your line.** Write your thesis and your invalidation, then place the order as planned.
7. **Review and improve.** Log every decision, and fix your rules and your execution separately.

THE WHOLE METHOD IN ONE LINE

You are not trying to predict the market. You are running a process that only lets good, survivable trades through, and calmly says no to everything else.